

When does the Stock Market bottom in a Recession?

There have been many calls by economists for a recession in the first quarter of 2023. Does the stock market bottom before a recession? Or during? Or after? Lets take a look.

First, lets see where we are at now. The Gross Domestic Product in the United States hit its high in the Fourth Quarter of 2021.¹ It doesn't mean we are in a recession now (the official dating of recession is the National Bureau of Economic Research (a non-partisan think tank group of business and labor leaders, as well as university-based economists who were committed to uncovering and disseminating important facts about the economy of the United States)². So, as we know it right now, the peak of the economy was in the last quarter of 2021.

So when does the economy hit its bottom? Below is a chart of each recession since the end of World War 2. The average time when the economy hits its bottom or trough is 10.41 months.

GDP Peak Month	GDP Peak Year	GDP Trough Month	GDP Trough Year	Peak to Trough in months
February	2020	April	2020	2
December	2007	June	2009	17
March	2001	November	2001	7
July	1990	March	1991	8
July	1981	November	1982	17
January	1980	July	1980	7
November	1973	March	1975	16
December	1969	November	1970	11
April	1960	February	1961	10
August	1957	April	1958	9
July	1953	May	1954	10
November	1948	October	1949	11
Average				10.4166667

Source: <https://www.nber.org/research/data/us-business-cycle-expansions-and-contractions>

If we hit the highest point in the United States economy in the fourth quarter of 2021, we are at about the right point when the Gross Domestic Product bottoms. It is important to note that recession dating happens well after the fact – the National Bureau of Economic Research dated the Covid recession of February to April 2020 in July 2021, a full 15 months after the recession ended.³

Now, lets review when the stock market bottoms. Does the stock market bottom after the economy starts to rebound? No, markets (including the stock market) are forward looking - they take what they know about the future and discount it to today.

¹ <https://www.bea.gov/data/gdp/gross-domestic-product>

² <https://www.nber.org/about-nber/history>

³ <https://www.nber.org/news/business-cycle-dating-committee-announcement-july-19-2021>

Let me give you an example – let’s say corn is planted in May and it doesn’t rain for 4 weeks. As a result, corn futures skyrocket higher as it seems like there will be a shortage of corn. At the end of the 4 weeks, we get normal weather (heat, 3.5 inches of rain a month, etc, etc) and the corn yields 95% of what a perfect year would have given us. Corn futures plummet as soon as we get the good weather as the corn, even after a very poor start to the growing season, still provides us with 95% of the yield of a perfect growing year. Markets move on the information they have and extrapolate into the future.

So back to stock markets, when does the stock market on average bottom in a recession? On average, since the end of World War 2, the stock market bottoms 4.5 months before the economy does.

GDP	GDP	GDP	GDP	SP 500	SP 500	Months market bottoms
Peak Month	Peak Year	Trough Month	Trough Year	Peak Day	Trough Day	Before the Economy
February	2020	April	2020	24-Feb-20	23-Mar-20	1
December	2007	June	2009	12-Oct-07	09-Mar-09	3
March	2001	November	2001	01-Sep-00	21-Sep-21	2
July	1990	March	1991	13-Jul-90	12-Oct-90	6
July	1981	November	1982	12-Jun-81	06-Aug-82	5
January	1980	July	1980	08-Feb-80	18-Apr-80	3
November	1973	March	1975	12-Oct-73	04-Oct-74	6
December	1969	November	1970	01-Jan-70	22-May-70	5
April	1960	February	1961	10-Jun-60	21-Oct-60	5
August	1957	April	1958	12-Jul-57	20-Dec-57	5
July	1953	May	1954	07-Aug-53	11-Sep-53	9
November	1948	October	1949	22-Oct-48	10-Jun-49	4
					average	4.5
					median	5

So if we have had a couple of quarters of negative growth in the economy already in 2022 and if we have a recession called for in 2023 and if the market bottoms about 4 and a half months before the economy hits its trough, we are somewhere in the ballpark at a market bottom.

Now, this is a bunch of math and data and history and each market cycle is different, but I wanted to present to you that to me, for a variety of reasons (not just the ones I have presented here, the charts

also point to a short term bottoming process), we are probably close to the bottom of the market in this market cycle.

Let me know if you have any questions or concerns. Please feel free to forward this to anyone you think may find it interesting.

Thank you

Don